Arcadia Industrial
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Meridian Logistics Estate Information Memorandum

A$88.0M senior secured investment term facility, Truganina, Victoria

Prepared for prospective senior lenders
Arranged by Kerrigan Hale Capital Pty Ltd
Version 1.0, 9 February 2026
Strictly private and confidential
Reference: AI-IM-MLE-2026-001
Date: 9 February 2026

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Borrower	Meridian Logistics Estate Pty Ltd
ABN	98 445 227 419
Registered office	Level 14, 400 Collins Street, Melbourne VIC 3000
Property	Meridian Logistics Estate, 45 Meridian Boulevard, Truganina VIC 3029
Sponsor	Arcadia Industrial Group Pty Ltd (trading as Arcadia Industrial)
Facility requested	A$88.0M senior secured investment term facility, interest only, 60 months
Financial adviser	Kerrigan Hale Capital Pty Ltd
Date of memorandum	9 February 2026
Version	1.0 (initial issue to lenders)

Transaction details

Important notice

This information memorandum has been prepared by Arcadia Industrial Group Pty Ltd (trading as Arcadia Industrial) for the sole purpose of assisting a limited number of prospective lenders to decide whether to proceed to detailed due diligence on the facility described in it. It is confidential and must not be copied or distributed without the written consent of Arcadia Industrial.

The memorandum contains forecasts, estimates and statements of intent that depend on assumptions about leasing, interest rates and property markets. Financial figures are based on passing rents and management information to December 2025 and are unaudited. The independent valuation, quantity surveyor report, audited financial statements and management accounts listed in Section 11 have not yet been delivered. Where this memorandum refers to market value, it is the sponsor's current estimate, to be confirmed by Harcourt Pryor Valuers Pty Ltd. Pricing and terms are indicative only and are subject to credit approval by each lender. Recipients should rely on their own investigations.

1. Executive summary

Meridian Logistics Estate Pty Ltd (the Borrower) is a single-purpose property holding entity that owns a completed and stabilised industrial and logistics estate at Truganina, in Melbourne's western industrial corridor. The estate is about 22 kilometres from the Melbourne CBD, with direct access to the Princes Freeway and the Western Ring Road. It comprises four modern warehouses with a combined gross lettable area (GLA) of 64,000 sqm on a 13.3 hectare site.

Arcadia Industrial developed the estate in three stages between 2020 and 2024 and intends to hold it for long term income. The estate is 97.5% occupied across seven tenants in third party logistics, food distribution and e-commerce fulfilment. The weighted average lease expiry (WALE) is 6.1 years by income, and fixed annual rent escalations average 3.5%.

The Borrower seeks a A$88.0M senior secured investment term facility with a 60 month tenor, interest only, to refinance the existing construction and bridging facilities on the completed Stages 1 to 3. The facility will also fund transaction costs, an interest reserve and A$1.6M of minor capital works for the remaining vacant tenancy.

- Facility limit of A$88.0M against an indicative as-is market value of A$150.5M (A$2,352 per sqm), a loan to value ratio (LVR) of 58.5%.
- Total development cost of A$118.4M, including land acquired for A$46.0M, so the facility represents about 74% of cost and the sponsor's equity sits behind it.
- Annualised revenue of A$9.8M and EBITDA of A$7.9M, giving an interest cover ratio (ICR) of 1.43x and a debt yield of about 9.0%.
- Net debt of A$85.6M, equal to 10.8x EBITDA, after netting the A$2.4M interest reserve.
- Capitalisation rate of 5.25% applied to net income of A$7.9M to support the indicative value.
- Tenant concentration is the principal credit sensitivity: the largest tenant contributes 31.0% of passing income and the top three contribute 68.0%.

2. The facility request

2.1 Purpose and sources and uses

The existing construction and bridging facilities were put in place to fund the three development stages. With construction complete and the estate stabilised, the sponsor wants to replace them with a term facility matched to the long dated lease profile. The facility will be drawn in a single drawdown at financial close.

Item	A$M	% of total
Refinance existing construction and bridging facilities	82.0	93.2%
Interest reserve	2.4	2.7%
Minor capital works (vacant tenancy)	1.6	1.8%
Upfront fee (1.00%)	0.9	1.0%
Other transaction costs	1.1	1.3%
Total uses, funded by senior facility	**88.0**	**100.0%**

Table 1: Sources and uses (indicative, to be finalised at financial close)

The upfront fee is A$0.88M, shown rounded in Table 1. Other transaction costs include legal, valuation, quantity surveyor, hedging establishment and security registration costs.

2.2 Indicative terms

Facility type	Senior secured investment term facility (interest only)
Limit	A$88.0M
Tenor	60 months, bullet repayment at maturity
Margin	3 month BBSW plus 2.35% per annum
Upfront fee	1.00% of the facility limit
Commitment fee	0.60% per annum on undrawn amounts
Hedging	Minimum 70% of drawn debt hedged for 3 years
Security	First registered mortgage over the estate, first ranking security over all assets of the Borrower, assignment of leases and rents

Indicative only and subject to credit approval

3. Borrower and sponsor

3.1 The Borrower

Meridian Logistics Estate Pty Ltd (ABN 98 445 227 419) is a special purpose entity with a registered office at Level 14, 400 Collins Street, Melbourne VIC 3000. It was used by Arcadia Industrial to acquire the Truganina site on 14 June 2019 for A$46.0M. Its only business is the ownership and leasing of the estate, and it will give covenants restricting other business activity, additional borrowings and distributions outside agreed tests.

3.2 Directors

- Callum Rayner, Director and Chief Executive Officer, Arcadia Industrial.
- Priya Forsyth, Director and Chief Financial Officer, Arcadia Industrial.
- Graham Tolliver, Non-executive Director (independent).

The independent director has been appointed to bring objectivity to decisions involving related parties, including the property management agreement described in Section 3.4.

3.3 The sponsor

Arcadia Industrial is a developer and owner of industrial and logistics property. It conceived, funded and delivered all three stages at Meridian, and has retained the estate rather than selling on completion. On 15 December 2025 Arcadia Industrial appointed Kerrigan Hale Capital to arrange the A$88M term refinancing.

3.4 Asset management

Property and leasing management is provided by Arcadia Asset Services Pty Ltd, a related party of the sponsor, under a management agreement. Lenders should note that this creates dependence on the sponsor group. We propose that the agreement be subordinated to the facility, that fees be capped at market levels, and that lenders have step-in rights to replace the manager following an event of default.

4. The asset

4.1 Location and site

The estate is at 45 Meridian Boulevard, Truganina, in Melbourne's western industrial corridor. The site of 13.3 hectares is about 22 kilometres from the Melbourne CBD, with direct access to the Princes Freeway and the Western Ring Road. This gives tenants efficient access to the Port of Melbourne, interstate routes and the western residential catchment.

4.2 Improvements

The four warehouses have clear internal heights of 12 to 14 metres, ESR-rated hardstand, 24/7 operating approvals and rooftop solar on all buildings. The specification suits automated storage, high-bay racking and heavy vehicle movements. The estate was delivered in three stages.

Stage	Warehouses	GLA (sqm)	Practical completion
Stage 1	Warehouse 1	18,000	26 Mar 2021
Stage 2	Warehouses 2 and 3	31,500	18 Nov 2022
Stage 3	Warehouse 4	14,500	30 Sep 2024
Total	**Four warehouses**	**64,000**	

Table 2: Development stages

Stage 1 was fully leased on a 10 year term to a third party logistics operator. Stage 2 was 90% pre-committed before completion. Stage 3 was 89% leased at completion, and occupancy across the estate rose to 97.5% by December 2025.

4.3 Environmental and planning

The site is former agricultural land and a historical contamination assessment is on file. The 24/7 operating approvals depend on continued compliance with EPA Victoria conditions. Marlowe & Finch Lawyers will review the planning permits, the contamination assessment and compliance history as part of legal due diligence, and an environmental report update can be provided to lenders on request.

5. Tenancy and leasing

The estate has seven tenants in third party logistics, food distribution and e-commerce fulfilment. Occupancy is 97.5%, with 1,600 sqm vacant in Warehouse 4. The WALE is 6.1 years by income and contracted rent escalations are fixed and average 3.5% per annum.

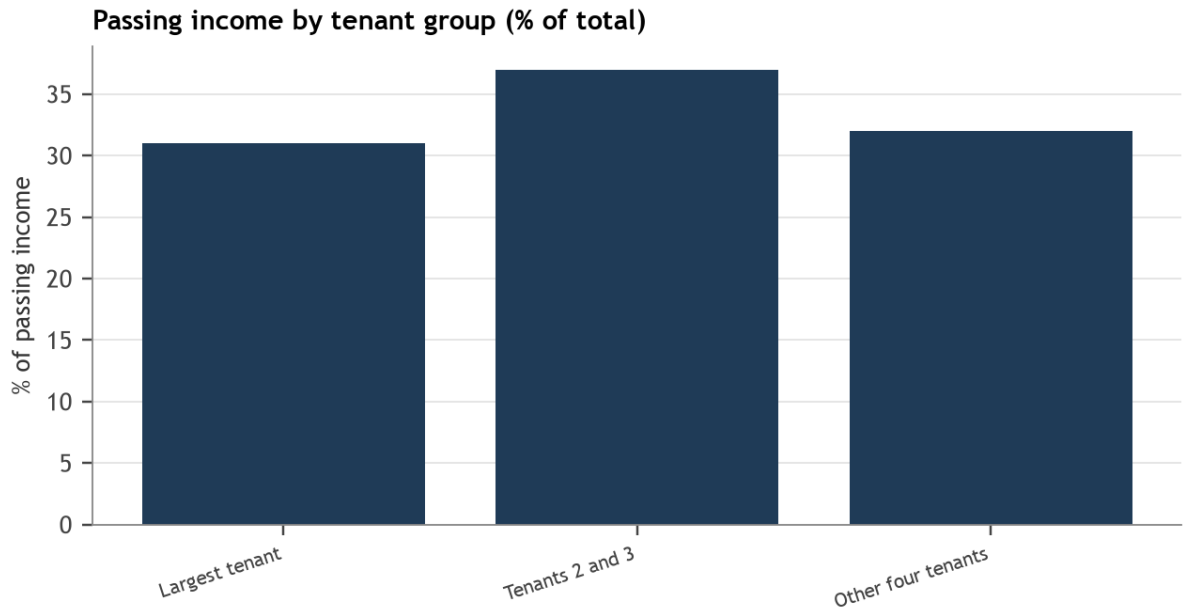


Figure 1: Income concentration. The top three tenants contribute 68.0% of passing income.

Lease expiries in 2031 and 2032 together represent 24% of income. The Stage 1 lease, signed for 10 years from March 2021, falls within this window. Renewal or re-letting of these tenancies is the key leasing event within the proposed facility term and shortly after maturity, and the covenant package in Section 8 includes a minimum WALE test.

The remaining vacant tenancy of 1,600 sqm is 2.5% of GLA. The A$1.6M of capital works in the facility is intended to deliver the tenancy in lettable condition. The sponsor is not relying on income from this tenancy to meet interest cover, which is calculated on passing income only.

6. Market context

Truganina sits in the western industrial corridor, a major supply location for Melbourne logistics. Demand is driven by e-commerce growth, the consolidation of distribution networks and the need for modern, high-clearance buildings close to major arterial roads. The corridor has also attracted significant new supply, which is a risk for rents and incentives when tenancies expire. The estate's advantages are its modern specification, solar installations, 24/7 approvals and freeway access. Harcourt Pryor Valuers will report on market rents, incentives and comparable sales in its formal valuation.

7. Valuation, security and financial performance

7.1 Valuation and loan metrics

The sponsor's current estimate of as-is market value is A$150.5M, equal to A$2,352 per sqm of GLA. This is based on a capitalisation rate of 5.25% applied to net income of A$7.9M. The formal valuation by Harcourt Pryor Valuers Pty Ltd is due on 20 February 2026 and the facility amount will be sized against the valuation lenders receive. The Borrower's land cost was A$46.0M and total development cost was A$118.4M, so the indicative value exceeds cost by about 27%.

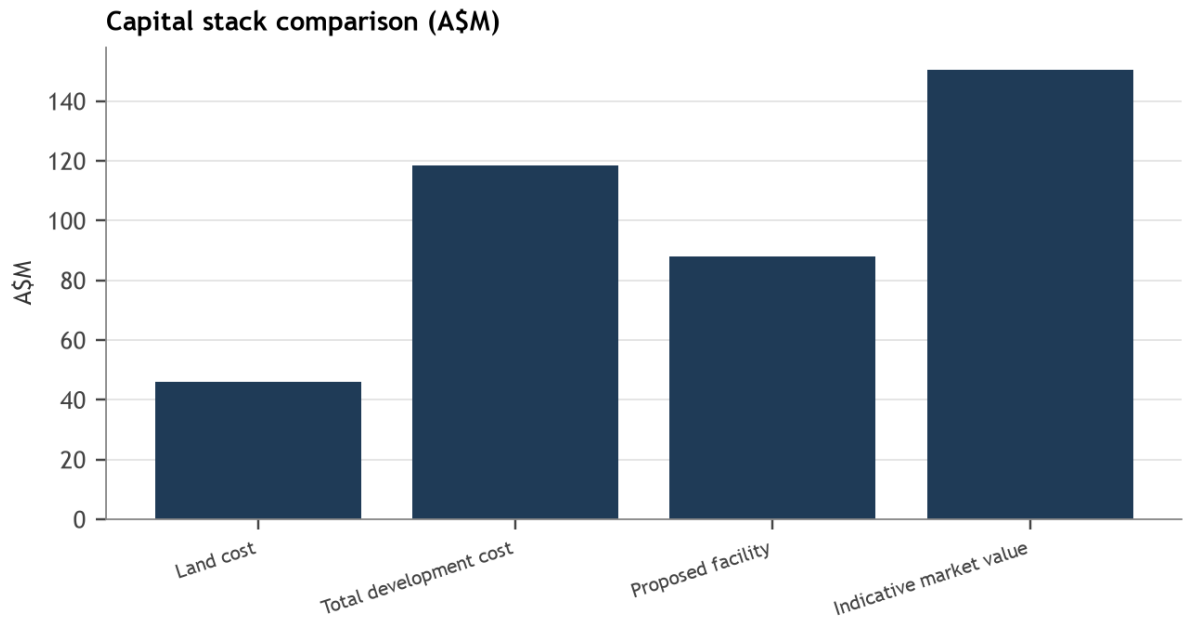


Figure 2: Land cost, total development cost, proposed facility and indicative market value.

7.2 Financial performance

The figures below are annualised from passing rent and management information to December 2025. They are unaudited. Whitlock Brennan Chartered Accountants will provide audited financial statements, due on 6 March 2026.

Metric	Value
Revenue	A$9.8M
EBITDA (net property income)	A$7.9M
Implied annual interest cost	A$5.5M
Interest cover ratio (ICR)	1.43x
Net debt	A$85.6M
Net debt to EBITDA	10.8x
Debt yield (EBITDA / facility)	9.0%
Facility per sqm of GLA	A$1,375
LVR	58.5%

Table 3: Key financial metrics (annualised, unaudited)

Net debt equals the A$88.0M facility less the A$2.4M interest reserve held in cash. Net debt to EBITDA of 10.8x is high in absolute terms, as is usual for stabilised property with long leases and low yields, and lenders should assess it alongside the LVR, ICR and lease profile. Because the facility is interest only, the principal is repaid at month 60 from a sale or refinancing.

7.3 Sensitivities

Scenario	Value (A$M)	LVR	ICR
Base case	150.5	58.5%	1.43x
Cap rate softens 50 bps	about 136.5	about 64.5%	1.43x
BBSW up 210 bps on unhedged 30%	150.5	58.5%	1.30x
Largest tenant income lost, no re-let	not reassessed	58.5%	0.88x

Table 4: Sensitivity analysis (illustrative)

The BBSW scenario assumes the hedged 70% of drawn debt is unaffected and the unhedged A$26.4M reprices. The tenant scenario removes 31.0% of revenue (about A$3.0M) with no saving in costs and no replacement income. It is a severe stress, shown to illustrate the importance of lease covenant and re-letting strategy.

8. Proposed covenants and undertakings

Covenant	Proposed level	Current
Maximum LVR	65.0%	58.5%
Minimum ICR	1.25x	1.43x
Minimum WALE by income	4.0 years	6.1 years
Minimum hedging of drawn debt	70% for 3 years	Compliant at close
Minimum occupancy	90.0%	97.5%

Table 5: Indicative financial covenants (subject to lender negotiation)

- Valuation by a panel valuer at least annually, and on a lender's request after a covenant breach.
- Distributions to the sponsor permitted only if no default exists and the ICR is above 1.35x.
- Cash sweep if the ICR falls below the minimum or a tenant representing more than 15% of income gives notice of vacating.
- Quarterly reporting of rent roll, arrears, leasing activity and compliance with EPA Victoria conditions.
- Related party management agreement subordinated, with fees capped and lender step-in rights.

9. Key risks and mitigants

Tenant concentration

The largest tenant contributes 31.0% of passing income and the top three contribute 68.0%, so a single default would materially reduce interest cover. Mitigants are the long WALE of 6.1 years, the specialised fit-out and operational dependence of tenants on a well-located site, the cash sweep trigger and the minimum ICR covenant.

Refinancing and interest rate risk

The facility is interest only with a bullet repayment at month 60. Unhedged exposure to BBSW (30% of drawn debt) could reduce interest cover below 1.30x if base rates rise. Mitigants are the mandatory 70% hedging for 3 years, the A$2.4M interest reserve and fixed annual rent escalations averaging 3.5%, which grow income over the term.

Valuation and capitalisation rate risk

A 50 basis point softening in the capitalisation rate would reduce value by around A$14M and lift LVR to approximately 64.5%. This is within the proposed 65.0% covenant but leaves limited headroom. Mitigants are the modest starting LVR of 58.5%, the sponsor's cost base of A$118.4M and the annual valuation requirement.

Leasing risk

The vacant tenancy of 1,600 sqm and the 2031 and 2032 expiries, which together represent 24% of income, must be leased or renewed in a western Melbourne market with significant new supply. Mitigants are the estate's specification, its record of leasing Stage 3 from 89% to 97.5% in about 15 months, the A$1.6M capital works allowance and the minimum WALE covenant.

Single asset and related party dependence

The Borrower owns one estate in one location and depends on Arcadia Industrial for asset management and leasing under a related party agreement. Mitigants are the independent director, subordination of management fees, step-in rights and the quarterly reporting package.

Environmental and planning risk

The site is former agricultural land with a historical contamination assessment on file, and the 24/7 operating approvals depend on continued compliance with EPA Victoria conditions. Mitigants are the legal and environmental review under due diligence, a compliance undertaking and the covenant to report any notice from the EPA.

10. Advisers

Financial adviser and arranger	Kerrigan Hale Capital Pty Ltd
Valuer	Harcourt Pryor Valuers Pty Ltd
Quantity surveyor	Danforth Quantity Surveyors Pty Ltd
Auditor	Whitlock Brennan Chartered Accountants
Legal counsel	Marlowe & Finch Lawyers
Property manager (related party)	Arcadia Asset Services Pty Ltd

Advisers to the transaction

11. Process and timetable

Lenders are invited to review this memorandum and to register interest with Kerrigan Hale Capital. Third party reports and financial information will be made available in a data room as they are finalised.

Date	Milestone
9 Feb 2026	Information memorandum issued
20 Feb 2026	Valuation report (Harcourt Pryor Valuers)
27 Feb 2026	Quantity surveyor report (Danforth)
6 Mar 2026	Audited financial statements (Whitlock Brennan)
13 Mar 2026	Management accounts
27 Mar 2026	Indicative term sheet

Table 6: Indicative timetable

Lenders wishing to participate should contact Kerrigan Hale Capital Pty Ltd, which is managing the process on behalf of the Borrower and the sponsor. All enquiries must go through the adviser. Recipients must not contact tenants, the property manager or the Borrower's directors directly about this transaction.